

NVIDIA Corporation

NASDAQ: NVDA | Q2 FY2027 | August 25, 2026

Upcoming earnings	Reporting period	Reference price	Options-implied move
Aug. 26, 2026 - 21:00 UTC	Q2 FY2027	\$214.72	+/-6.17%

Bottom line: Fundamentally positive, tactically neutral into the print. A normal beat is unlikely to be enough. The stock needs a credible Q3 guide, gross margin near 75%, and constructive Rubin deployment commentary.

Executive Summary

Driver 1: The published bar - about \$92.1B revenue, \$85.7B Data Center revenue and \$2.09 adjusted EPS - is less demanding than the behavioral bar: the market likely needs a meaningful beat plus Q3 guidance above roughly \$104.6B. [2] Driver 2: Gross margin and Rubin commentary will determine earnings quality; a revenue beat funded by weaker mix, memory inflation or customer financing would be less valuable.

The stock trades near \$215, options imply a +/-6.17% move, and the last four reports produced negative next-day reactions - making guidance quality more important than the headline beat. [3]

Primary drivers - EPIC documentation

Driver	E: material	P: forecastable	I: blind spot	C: gap vs consensus	Why prioritized
1. Q3 guide vs whisper	Drives revisions	Orders, capacity and Rubin provide evidence	Published consensus understates behavioral bar	Consensus ~\$104.6B; positive threshold \$106-108B	More important than routine Q2 beat
2. Margin and Rubin economics	100 bps materially affects earnings	Mix and components observable	Revenue gets more focus than quality	Market ~75%; bull requires >=75% plus stable outlook	Tests pricing power and cost pass-through
3. Financing-supported demand	Can alter demand quality and multiple	Low: credit timing uncertain	Guarantees may be underweighted	Treat as valuation discount, not organic demand	Important long term; secondary for Q2

Earnings quality quick screen

Check	Observation	Implication	Watch for
OCF / NI	Latest OCF \$50.34B / NI \$58.32B = 0.86x	Healthy conversion, though below 1.0x	Stay above 0.8x; working-capital outflows
DSO trend	Approx. 45 days vs ~52 sequentially; CCC 102 days vs 76 YoY	Receivables improved; inventory/system complexity remains	Inventory growth vs revenue; acceptance timing
GAAP vs non-GAAP	GAAP EPS \$2.39 vs adjusted \$1.87; SBC ~2.4% of revenue	Non-core gains inflated GAAP; operating measures are cleaner	Investment gains, SBC and acquisition adjustments

Financial Expectations

Consensus Estimates

- Revenue: \$92.1B, approximately +97% YoY and +13% QoQ
- Adjusted EPS: \$2.09
- GAAP EPS: approximately \$2.15
- Data Center: \$85.7B, approximately +108% YoY
- Non-GAAP gross margin: approximately 75%
- Q3 revenue forecast: approximately \$104.6B

Recent Performance Context

Q1 FY2027 revenue was \$81.6B, up 85% YoY, with Data Center revenue of \$75.2B, up 92%. Non-GAAP gross margin was 75%, adjusted EPS was \$1.87, and operating cash flow reached \$50.3B. [\[4\]](#)

Sentiment and positioning

Data type	Metric / fact	Source	As of
News/social	Quantified score not available	Bigdata search	Aug. 24
Options	ATM straddle \$13.25; +/-6.17%; range \$201.50-\$228.00	Options report [3]	Aug. 22
Short interest	Not available in data	-	-
Institutional	Clean aggregate change not available; reported repositioning mixed	Tearsheet/search	Q2 2026
Insiders	Director Mark Stevens sold 885,000 shares for ~\$186M	Form 4 coverage [5]	Jun. 18
Sell-side	2 Strong Buy, 58 Buy, 16 Hold, 3 Sell; mean PT \$319.54	FMP/Bigdata	Aug. 24

Recent Developments and Initiatives

- NVIDIA signed MOUs with six major capital providers targeting more than \$500B of third-party AI-infrastructure capital. This expands customer funding capacity but increases circular-demand scrutiny. [\[6\]](#)
- An August 17 filing disclosed residual-value guarantees covering approximately 4.25 GW of infrastructure, capped at \$105B, plus a \$1.5B SB Energy investment. The exposure is contingent, but material. [\[4\]](#)
- Reports say NVIDIA tightened Asian customer approvals, removing more than half of previously authorized buyers amid stronger export enforcement. [\[7\]](#)
- France's competition investigation is reportedly nearing completion. No charges or timetable have been disclosed; the statutory maximum penalty could reach 10% of global revenue. [\[8\]](#)
- A reported Poolside transaction would include a \$6B technology licence and \$1B investment. Because NVIDIA had not confirmed the report, it is excluded from the base case. [\[9\]](#)

Industry Trends and Sector Dynamics

- AI packaging and HBM capacity remain constrained; TSMC's CoWoS capacity is reportedly substantially booked through 2026. This supports visibility but creates execution and input-cost risk. [\[10\]](#)
- Custom accelerators are becoming more credible as cloud providers diversify suppliers. NVIDIA's near-term advantage remains its full-stack system and CUDA ecosystem.
- Reports of potential 15% price increases on Rubin/Blackwell-based servers suggest pricing power could offset memory inflation, although NVIDIA has not confirmed them. [\[2\]](#)

What's priced in

Lens	Implied by market	Consensus	Assessment
Growth	Continued near-doubling of quarterly revenue	Q2 revenue +97%; Data Center +108%	Q2 likely clears; Q3 guide determines durability
Margins	~75% GM despite transition costs	Around 75%	74.8-75.3% acceptable; below 74.5% weakens beat quality
Beat / miss bar	More demanding than published estimates	\$92.1B revenue / \$2.09 EPS	Likely needs >\$93B plus >=\$106B Q3 guide

Valuation cross-check

At \$214.72, NVIDIA trades at approximately 31.9x trailing earnings, 30.3x EV/EBITDA, and a 2.3% FCF yield. Using Yuanta's FY2027 forecasts of \$9.61 GAAP EPS and \$8.99 adjusted EPS, the shares trade around 22-24x forward earnings. [\[2\]](#)

That is near the low end of NVIDIA's recent EV/EBITDA range, but it is not conventionally cheap: the multiple assumes extraordinary growth continues and financed infrastructure ultimately produces economic end demand.

Variant perception - FaVeS

Fundamentals

The modestly positive variance is not that NVIDIA will beat - most investors expect that. It is that Q3 guidance can reach \$106-108B if Rubin production, GB300 output and supply availability align. Falsification: guidance below \$103B or gross margin below 74.5%.

Valuation

The forward multiple is less stretched than the \$5.2T market capitalization suggests. Part of that apparent cheapness depends on unusually high growth and investment gains. The appropriate multiple falls if financing guarantees substitute for independent customer demand.

Sentiment

Sell-side positioning remains highly bullish, while options embed a larger move than recent realized earnings reactions. The last four negative post-report reactions indicate that a normal beat is already behaviorally priced in.

Bull Case: Drivers for Upside Surprise

1. Revenue exceeds \$94B, Data Center exceeds \$87-88B, and Q3 guidance reaches at least \$108B.
 - Evidence: Rubin is reported in production, with demand supported by constrained packaging capacity.
 - Impact: FY2027 estimates rise; valuation can hold near 29x-30x earnings.
2. Gross margin holds above 75% despite memory and system-cost inflation.
 - Evidence: NVIDIA reportedly retains pricing power and may pass higher system costs through.
 - Impact: Confirms incremental Rubin revenue remains high quality.

Bear Case: Risks to Consensus

1. Q3 guidance falls below \$101-103B or Data Center misses \$85B.
 - Impact: Suggests supply limits, customer digestion or custom-ASIC substitution; likely triggers estimate cuts.
2. Gross margin falls below 74% or management guides toward further compression.
 - Impact: A 100-150 bps reset could offset a modest revenue beat.
3. Financing, export and regulatory risks become more prominent.
 - Export controls narrow eligible customers; competition scrutiny and infrastructure guarantees may pressure the valuation multiple without an immediate earnings charge.

Scenario analysis

Price targets are 12-month values, distinct from the options-implied post-earnings range.

Scenario	Probability	Key assumptions	Price	Return vs \$214.72
Bull	25%	Q2 >\$94B; Q3 guide >=\$108B; FY27 EPS ~\$10.20; 29x	\$296	+37.9%
Base	50%	Q2 \$92-93B; Q3 guide \$103-106B; FY27 EPS ~\$9.60; 25x	\$240	+11.8%
Bear	25%	Q2 <=\$90.5B or weak guide/margin; FY27 EPS ~\$9.00; 20x	\$180	-16.2%
Total	100%			

Probability-weighted view: $EV = 25\% \times \$296 + 50\% \times \$240 + 25\% \times \$180 = \239 . Expected return = $\$239 / \$214.72 - 1 = +11.3\%$.

Key Metrics to Watch

Metric	Positive	Negative / concern
Q3 revenue guidance	Above \$106B	Below \$103B
Data Center revenue	Above \$87B	Below \$85B
Non-GAAP gross margin	At or above 75%	Below 74.5%
Rubin deployment	Production and customer acceptance on plan	Rack or supply delays
Cash conversion	OCF/NI above 0.8x	Inventory materially outgrows revenue
Financing exposure	Independent underwriting and diverse offtakers	More guarantees or concentrated credit

Management Guidance Focus Areas

- Rubin production, deployment schedule and 2027 rack availability
- GB300 supply and transition economics
- HBM, CPU, networking and advanced-packaging constraints
- China revenue and customer-approval changes
- Gross-margin trajectory during the product transition
- Risk controls around AI-infrastructure financing
- Potential exposure from French competition proceedings

Investment Implications

NVIDIA's operational setup remains strong, but the asymmetry into the print is less attractive than the growth rate suggests. Consensus already embeds exceptional performance, bullish sell-side positioning is crowded, and the stock needs both a beat and a sufficiently strong guide.

Net assessment: Neutral into the print, positive on a 12-month basis. Key risk: weaker demand quality or gross-margin compression masked by financing-supported revenue. Next catalyst: Q2 FY2027 results and guidance on August 26, 2026.

Sources

1. [Quatr - NVIDIA earnings calendar \(Aug. 24, 2026\)](#)
2. [Yuanta Investment Advisory - NVIDIA earnings preview \(Aug. 24, 2026\)](#)
3. [TipRanks - NVIDIA options-implied earnings move \(Aug. 22, 2026\)](#)
4. [Equisights Research - NVIDIA results and valuation review \(Aug. 20, 2026\)](#)
5. [MT Newswires - NVIDIA Form 4 transaction \(Jun. 23, 2026\)](#)
6. [NVIDIA - AI compute financing partnerships \(Aug. 10, 2026\)](#)
7. [Financial Times coverage - Asian approvals and export controls \(Jul. 14, 2026\)](#)
8. [French competition investigation coverage \(Jul. 9, 2026\)](#)
9. [Benzinga - Reported Poolside transaction \(Aug. 24, 2026\)](#)
10. [BCC Research - Advanced packaging constraints \(Aug. 19, 2026\)](#)

Data sources: Bigdata.com, FactSet, Financial Modeling Prep, Quatr, SEC filings, Wall St. Rank and the cited research/news documents.

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